

## MY INSIDE INFORMATION

SINCE I NO LONGER HAD ANY FAITH IN DETERMINING WHICH WAY the market was headed, which in turn made short-term forecasting impossible, my latest trip to New York was in danger of becoming another waste of time and money. Only as a matter of absolute last resort did I consider a rescue from Mr. Boesky, a famous investor whom I would have hoped to meet on more equal footing. In all the time I'd been losing money, Mr. Boesky was touted by everyone from "Wall Street Week" to my mother-in-law as the champion of all stock-pickers. What my mother-in-law told me was, "If you're writing about stocks, why not talk to a guy who is successful and knows what he's doing?" This had the same effect as if she'd come right out and said, "Ivan Boesky made \$400 million in the time it took you to drop \$10,000."

Mr. Boesky was part of an elite group of investors called risk arbitrageurs. These people bought stocks in companies that were obvious candidates to be taken over, since takeover bids usually resulted in huge jumps in the stock price, entirely independent of market conditions. In some cases, the risk arbs threatened to take over the companies themselves, a prospect that caused management to counter with defensive measures that often drove stock prices even higher. This is where an options player, with the right information, could realize huge gains in a short time, and without fretting about the general market forecasts.

I had a line into Mr. Boesky through my brother-in-law. My brother-in-law worked for a New York restaurant outlet that sold Mr. Boesky wholesale caviar and salmon, which you can buy in bulk if you're as successful as Mr. Boesky. I told my brother-in-law I'd like to interview Mr. Boesky about the history of the stock